

endowments can impair capital. Endowments can invest with managers that hold overvalued assets and generate poor returns. Endowments can have an overly volatile portfolio and lock in losses at a market bottom through annual spending. Endowments can maintain an overly illiquid portfolio and be forced to sell good assets at large discounts to fund spending needs. Endowments can hold a portfolio that is not sufficiently diversified to protect against changes in the environment such as inflation, an economic downturn, pandemic, war, or other downside shock.

Many of Graham and Dodd's insights in *Security Analysis* are directly applicable to avoiding these risks. Graham and Dodd caution against overly confident predictions of the future, instead recommending investments that will produce good returns in a wide variety of potential future environments. By buying with a margin of safety, by favoring high quality assets with high quality management teams, by being prudent with financial leverage and illiquidity, stock pickers and endowment investors can avoid downside disaster scenarios.

One complication for endowments is that they typically do not directly control which assets they own—those decisions are up to the external managers with whom they partner. As a result, an endowment's first line of defense against risk is its manager selection process. One important question we ask ourselves when deciding whether to partner with a manager is if we would be happy to go through a crisis with that manager. Partnering with managers who borrow too much money, overconcentrate in their positions, and plan only for upside scenarios will multiply risk. Partnering with managers who adhere to the principles of Graham and Dodd helps mitigate risk in the portfolio instead.

We have learned through painful experience that our manager risk assessments must go well beyond an examination of a manager's underlying investments. One of our scars from the Global Financial